

International Political Economy

Carlos Felipe Balcazar
Aparna Ravi

Department of Political Science & School of Public Policy
University College London

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Last class: Sovereign debt

- Can help increasing aggregate demand but ties hands.
 - ...to avoid a potential debt crisis or a twin crisis (if capital flight).
- Composition depend on economic structure.
 - ...less equity and more FDI if labor or natural-resource abundant.
- Little difference between left and right if re-election incentives.
- Can be used as a tool for building state capacity.
- Competition (from China) reduces hand-tying commitments.
 - ...reduce chance of developing supporting market institutions.

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International Organizations (IOs)

- Emerged as a result of Bretton Woods.
 - IMF, IBRD (now World Bank), GATT (now WTO).
- ...many others have emerged as well.
 - ...UN, ILO, WHO, IDB, OECD, BRICS, ADB.
 - ...some are more specialized than others (region or topic).
 - ...but also overlap in functions.
- Purpose is to increase cooperation and development.
 - ...reduce transactions costs, macro-instability, conflict, etc.

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When IOs function well?: WTO

	1	2	3
Lg Power Diff X WTO	0.649*** (0.070)		
Large Power Difference	-0.491*** (0.071)	-0.269*** (0.065)	-0.267*** (0.065)
Nonallied X WTO		0.676*** (0.100)	
Nonallied	-0.427*** (0.095)	-0.806*** (0.112)	-0.421*** (0.095)
Dissimilar Reg X WTO			0.259*** (0.054)
Dissimilar Regime Types	0.159*** (0.032)	0.149*** (0.032)	0.042 (0.040)
Both in WTO	0.858*** (0.080)	0.571*** (0.111)	1.032*** (0.081)
One in WTO	0.735*** (0.063)	0.717*** (0.063)	0.718*** (0.063)

■ Facilitates creation and enforcement of contracts.

■ ...dispute settlement mechanism helps in this.

■ Autonomy + allocation of judges at random.

■ ...but not always works.

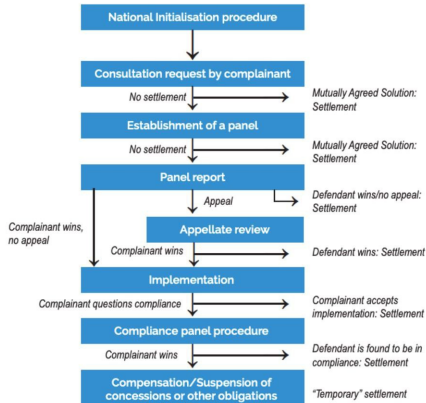
When IOs function well?: WTO

TABLE 4. Contract Intensity

	1	2
Contract Intensity X WTO	0.326*** (0.063)	0.365*** (0.089)
Both in WTO	-0.149*** (0.036)	-0.218 (0.144)

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THE EFFECT OF AB CONSTITUTIONAL CHAIRS ON AB RULINGS^a

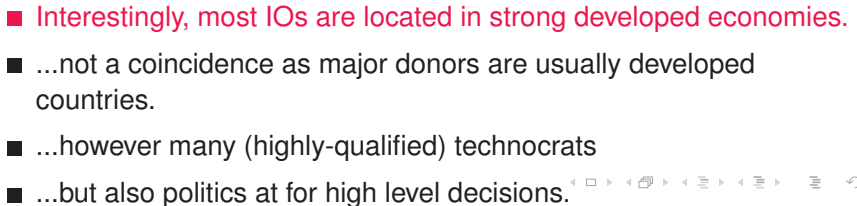
	(1)	(2)	(3)	(4)	(5)
Div. chair from defendant country	-0.932** (0.465)	-0.973* (0.525)	-1.201** (0.536)	-1.041* (0.566)	-2.955** (1.212)
Panel ruling direction	1.956*** (0.508)	2.054*** (0.550)	3.132*** (0.816)	2.189*** (0.555)	2.119** (0.858)

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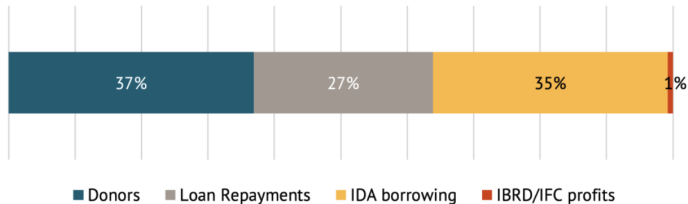
	AB accepts claim of appellant				
	(1)	(2)	(3)	(4)	(5)
Appellant Affinity Index	0.036 (0.046)	0.062 (0.039)	0.010 (0.047)	-0.003 (0.059)	-0.008 (0.055)
× US Appellant	0.162** (0.071)	0.163** (0.079)	0.301*** (0.113)	0.262** (0.111)	0.234** (0.109)

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An example of the potential conflicts of interest

Figure 3. Where does IDA get its money?



- Interestingly, most IOs are located in strong developed economies.
- ...not a coincidence as major donors are usually developed countries.
- ...however many (highly-qualified) technocrats
- ...but also politics at for high level decisions.

An example of the potential conflicts of interest



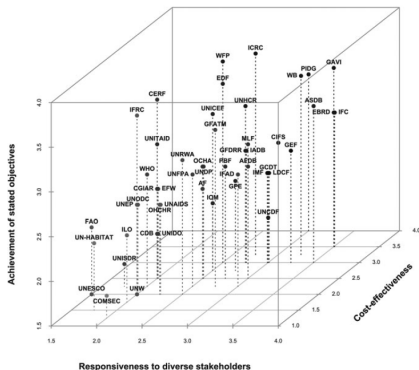
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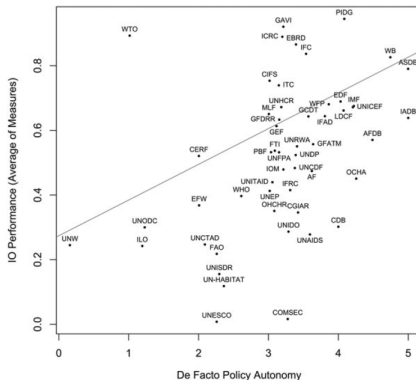
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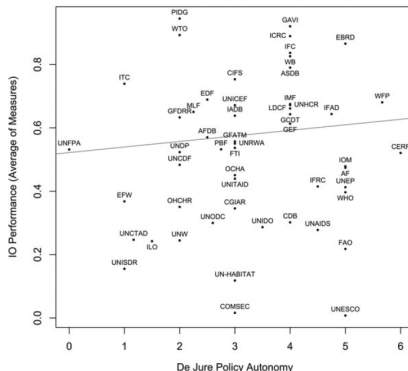
- Despite mandate, IOs have varied performance.
- Quid-pro quo using UN security council mechanisms.
- Evidence for World Bank and IMF.
- Creates alignment with hegemony (polarity theory).

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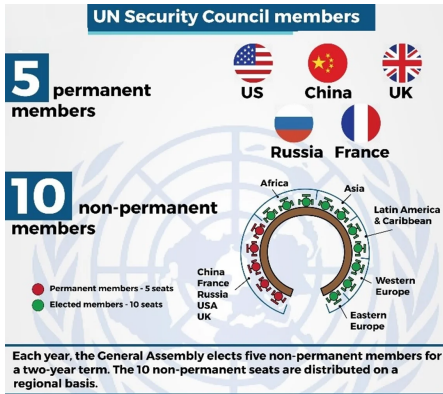
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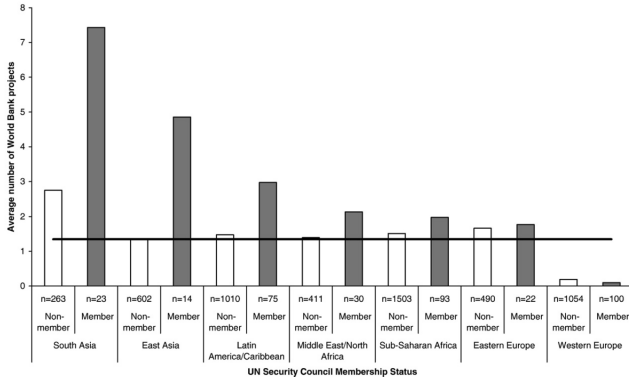
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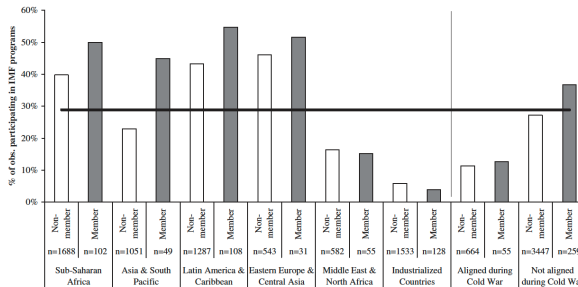
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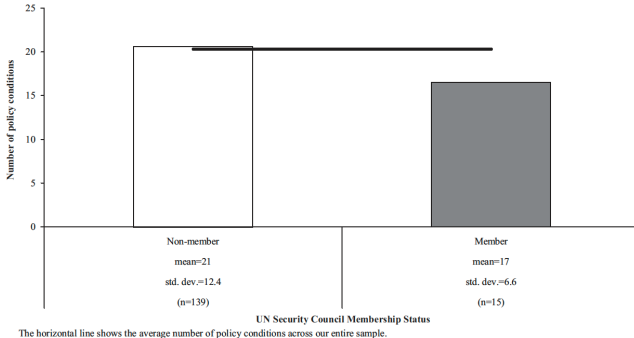


UN Security Council Membership Status

The horizontal line shows the average IMF participation rate across our entire sample.

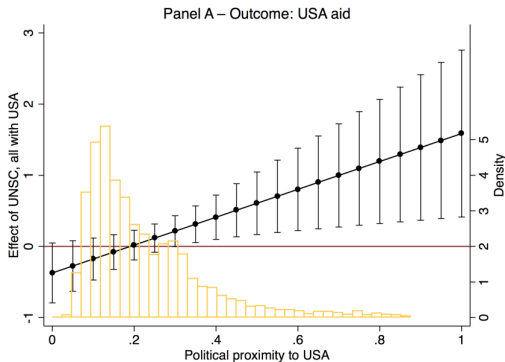
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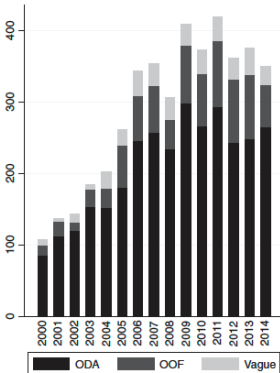
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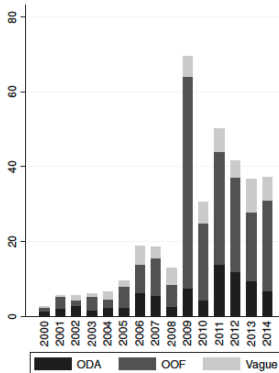
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China as an alternative

Number of Projects

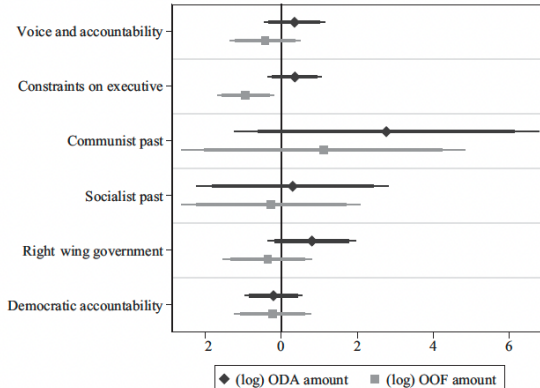


Value (2014 US\$ billion)



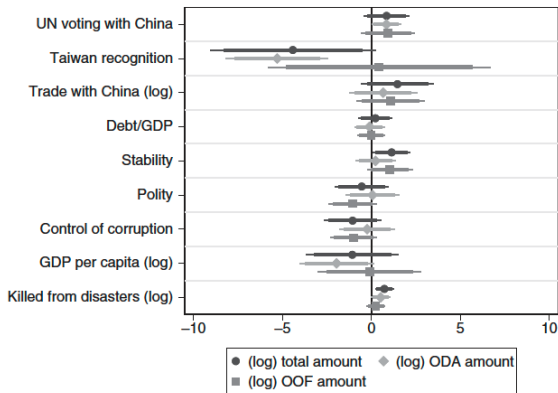
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- Different geopolitical ambitions v. USA; esp. Taiwan.
- ...are we seeing the rise of multipolarity?

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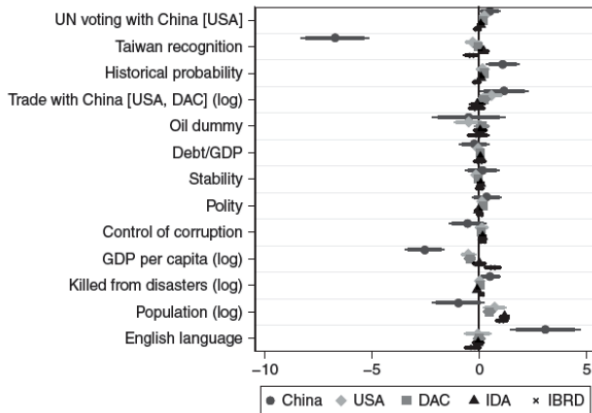
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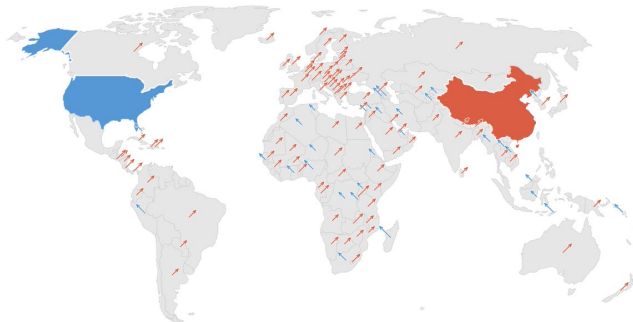
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How Trump's isolationism pushed the world to China

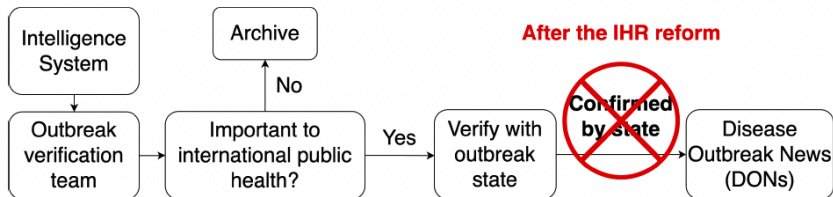
US/China alignment by country, 2024 versus 2025, based on UN voting records

Change in alignment  Current alignment
 Moved towards US  Moved towards China



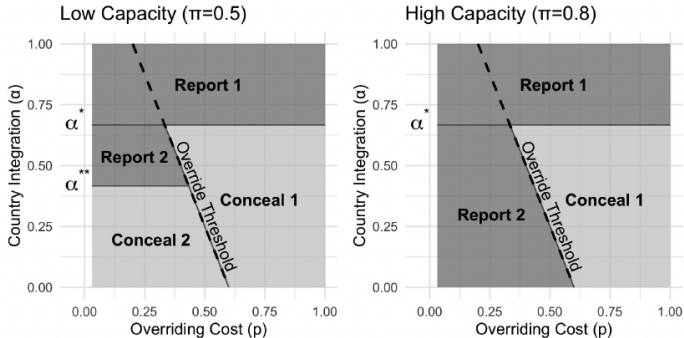
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Autonomy and the role of information



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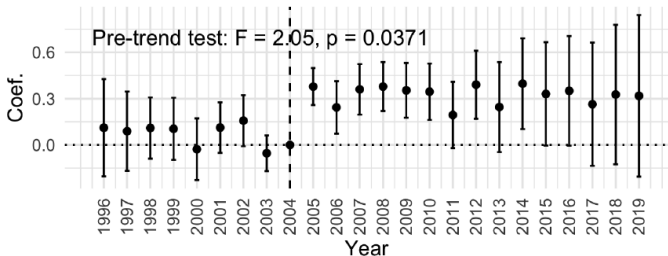
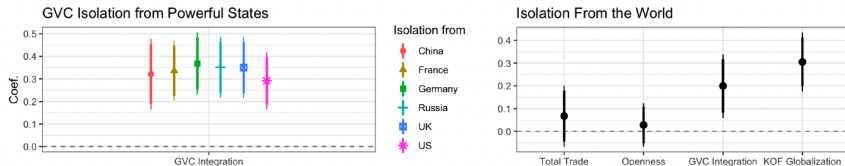


Figure 4: Pre-trend Analysis

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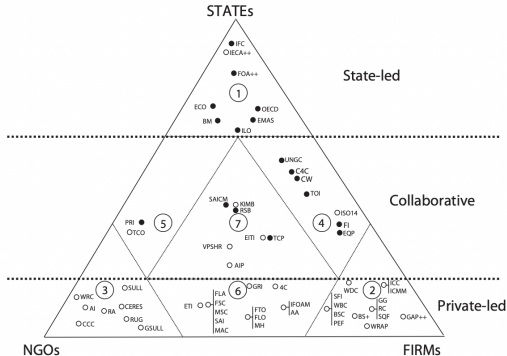
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The international regime complex for climate change

Figure 1.1. The governance triangle



- A collection of actors, institutions, agreements, etc.
- It has become more complex over time, especially due to firms.
- Many agreements and initiatives.

The international regime complex for climate change

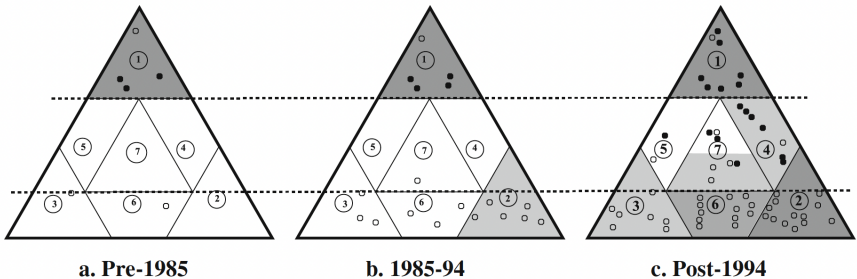
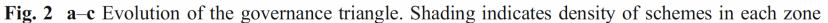


Fig. 2 a-c Evolution of the governance triangle. Shading indicates density of schemes in each zone

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Class exercise: Regime complexity

- 1 Make groups of 2/3 people.
- 2 Consider the problem of regime complex for climate change.
- 3 Think of three advantages and three problems of it.
- 4 If we want to meet climate goals, is the Conference of the Parties (COP) the best way (most efficient and effective) to achieve this?
- 5 15 minutes.
 - Feel free to use the Internet.
 - I will chose someone from the group.
 - Representative will convey main ideas.

